Secondary Data

Block 3

UNIVERSIDAD DE MONTEVIDEO

Types of Data

Primary

- **Primary data** are originated by a researcher for the specific purpose of addressing the problem at hand.

Secondary

- **Secondary data** are data which have already been collected for purposes other than the problem at hand. These data can be located quickly and inexpensively.

UM
UNIVERSIDAD DE MONTEVIDEO

Secondary Data

- **Internal Secondary Data** is data held within an organization for some purpose other than a research problem at hand.

- **Operational Data** is data generated about an organization's customers through day-to-day transactions.

UM
UNIVERSIDAD DE MONTEVIDEO

Challenges of Using Secondary Data

- Daily transactions may be held in different departments, such as sales, accounts or human resources, and stored in different manners

- Data needs to be centralized and available for it to be of use

UM
UNIVERSIDAD DE MONTEVIDEO

Combining into a **Customer Database**

- **Customer Database** is a database that details characteristics of customers and prospects, which can include names and addresses, geographic, demographic and buying-behaviour data

UNIVERSIDAD DE MONTEVIDEO

French Loyalty

- More than 90% of French households have at least one loyalty card from a supermarket and more than 50% participate in at least two

- The purchases of each household are tied to them and the products bought are uniquely identified by the bar code

- Companies can use this combination of data to look for valuable insights

Loyalty Card

- At face value, is a sales promotion device used by supermarkets, pharmacists, department stores, petrol stations and even whole shopping centers and towns to encourage repeat purchases.

- For the researcher, the loyalty card is a device that can link customer characteristics to actual product purchases.

UM
UNIVERSIDAD DE MONTEVIDEO

Benefits of Loyalty Programs

- Profiles of customers can be built up.
- Products used and not used → cross-selling.
- Communications which have worked and not worked (for example, discount coupons, A/B Testing).
- Distribution methods can be tailored, such as in-store, online etc.

UM
UNIVERSIDAD DE MONTEVIDEO

Additional Benefits

- One big laboratory (can establish *causal inferences*)
- Refining the marketing process (employ *statistical modelling*)
- Developing a clear understanding of ‘gaps’ in a firm’s knowledge of its consumers (*attitudinal data*)
- Linkages between behavioral and attitudinal data.

UM
UNIVERSIDAD DE MONTEVIDEO

Geodemographic Information System (GIS)

- A GIS is a business tool that matches geographic information with demographic information.

- This match allows subsequent data analyses to be presented on thematic maps

- Thematic maps solve marketing problems. They combine geography with demographic information and a company's sales data or other proprietary information.

UM
UNIVERSIDAD DE MONTEVIDEO

Why is Geography Important

- Knowing where one's consumers are located affects the means and costs of distribution, both of physical goods and communication

Examples:

Where to place a shopping center

Where to advertise

UM
UNIVERSIDAD DE MONTEVIDEO

How GIS are Created

- Typically for each country, statistics can be gathered and used to develop individual GISs based upon census data, postal address files, electoral registers, consumer credit data, directories of company directors, mail-order purchase records, car registrations and data on access to retail outlets.

UM
UNIVERSIDAD DE MONTEVIDEO

Using GIS system

- **Geodemographic Classification** groups consumers together based on the types of neighbourhood in which they live. If sets of neighbourhoods are similar across a wide range of demographic measures, they may also offer similar potential across most products, brands, services and media.

- Cluster Analysis can be preformed on the data to get a better idea of customers.

UM
UNIVERSIDAD DE MONTEVIDEO

Sophisticated Singles

- A cluster of young ,mostly single and well-educated individuals who live in major cities
- Very social with an open mind and looking for new experiences

- Prioritize increasing social capital than monetary capital

UM
UNIVERSIDAD DE MONTEVIDEO

Sense Scotland
Finding Donors

- Combined their database with Mosaic to find clusters to convert to direct debit payment for donations

- Assessed Sense Scotland's previous performance with individual donor segments and its performance related to Mosaic Scotland groups.

- For example, found that the A01 "Captains of Industry" made up 6.67% of donors while only making up 1.92% of Scotland's Population

UNIVERSIDAD DE MONTEVIDEO

BODEN

British high quality fashion brand that sales through "catalogue"

- With partners developed 80 individual segments of customers
- 2.2 million people in their database
- Cared most about 'Propensity to Buy'
- Moved focus of company to women's fashion

- Information so valuable that fashion designers ask for data

UM
UNIVERSIDAD DE MONTEVIDEO

Customer Relationship Management (CRM)

- The processes involved in the identification of profitable customers and/or customer groups and the cultivation of relationships with these customers. The aim of such processes is to build customer loyalty, raise retention rates and therefore increase profitability.

Try to get the right offer to the right customer

UM
UNIVERSIDAD DE MONTEVIDEO

Big Data

- Volume: the amount of data that are being created and stored
- Velocity: The speed that the data is available
- Variety: Wide variety of data formats
- Veracity.(Added later) Do we trust the information

UM
UNIVERSIDAD DE MONTEVIDEO

Problems with Big Data

- Data Quality
- Skills Gap
- Organization and Culture

UM
UNIVERSIDAD DE MONTEVIDEO

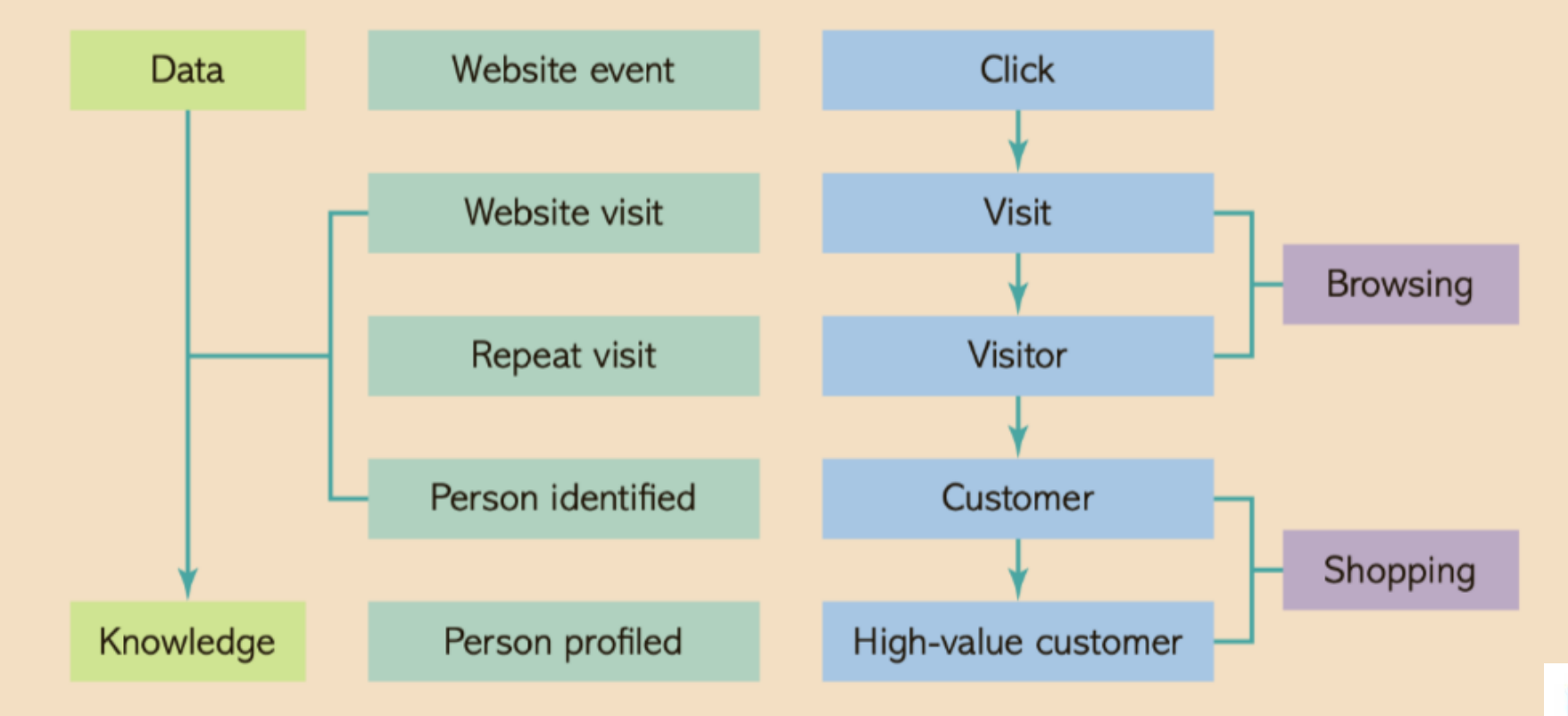
Web Analytics

- Web analytics is the process of collection, measurement and analysis of user activity on a website to understand and help achieve the intended objective of that website



UM
UNIVERSIDAD DE MONTEVIDEO

Consumer Profile from Web



UM
UNIVERSIDAD DE MONTEVIDEO

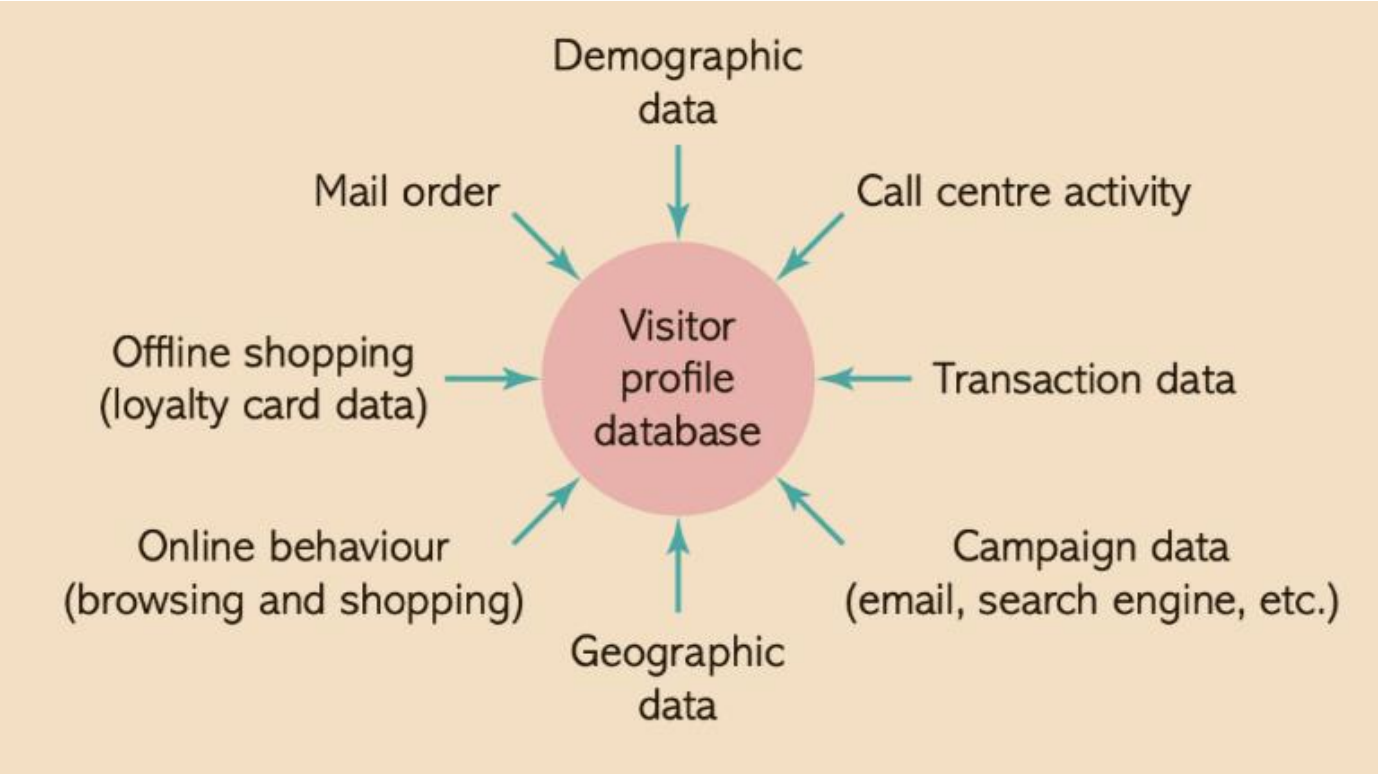
Web Analytics Products

- Google Analytics- Free version of Google Analytics anonymizes customer data and summarizes customer through demographics. Google keeps the data

- Adobe Analytics- Full customization of analytics options while controlling underlying data and full integration of web-user data with other customer data sources

UNIVERSIDAD DE MONTEVIDEO

Visitor Profile Database



UM
UNIVERSIDAD DE MONTEVIDEO

Joining It all Together

Stage 1:
Existing customer database

⇓

Stage 2:
Geodemographic profiles

⇓

Stage 3:
Combine customer data with geodemographic profiles

⇓

Stage 4:
Add survey data

⇓

Stage 5:
Create ‘own’ consumer profiles

⇓

Stage 6:
Use of the datawarehouse

UNIVERSIDAD DE MONTEVIDEO

Data Warehouses

A data warehouse aggregates data from various sources into a central data store optimized for querying and analysis.

Components:

- Acquisition
- Storage
- Access

UM
UNIVERSIDAD DE MONTEVIDEO

Nestle Integration

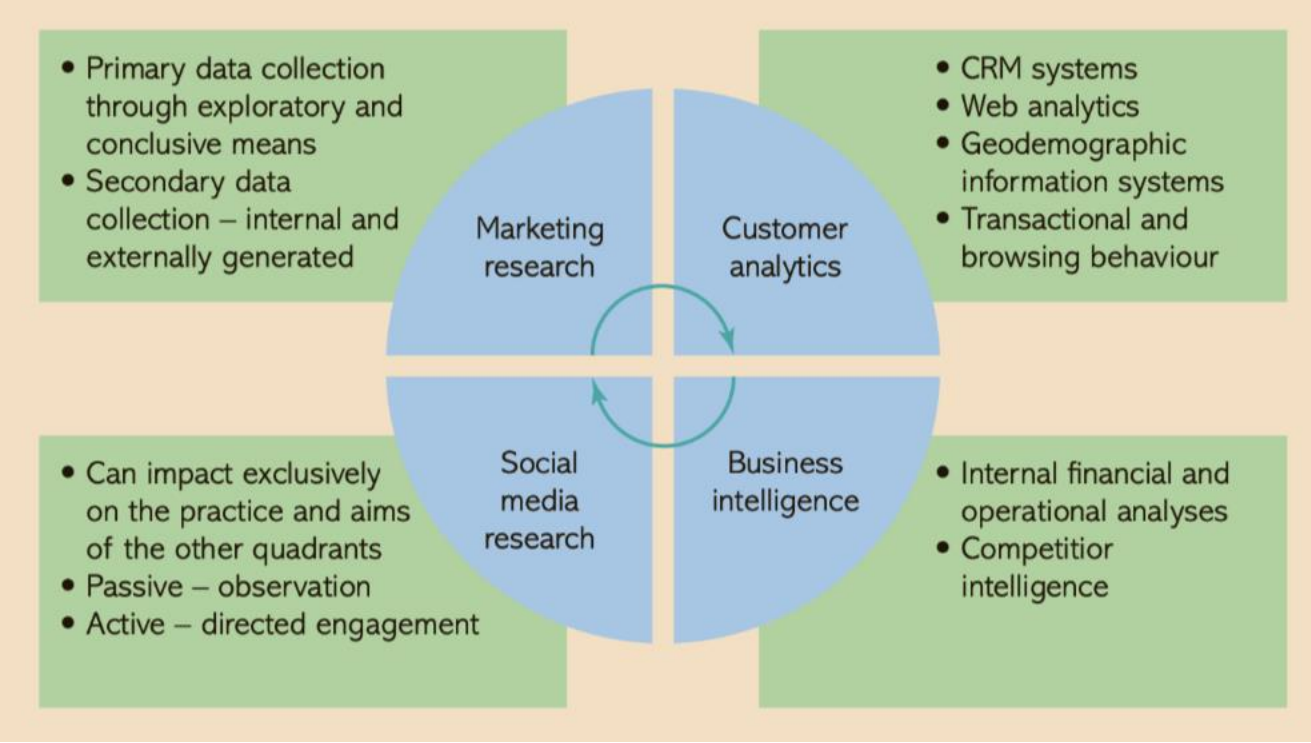
In 2004 Nestle combined the 4 different sources of data

- Market Data
- Consumer “Safaris”
- Marketing Research
- Industrial Organization and Economy



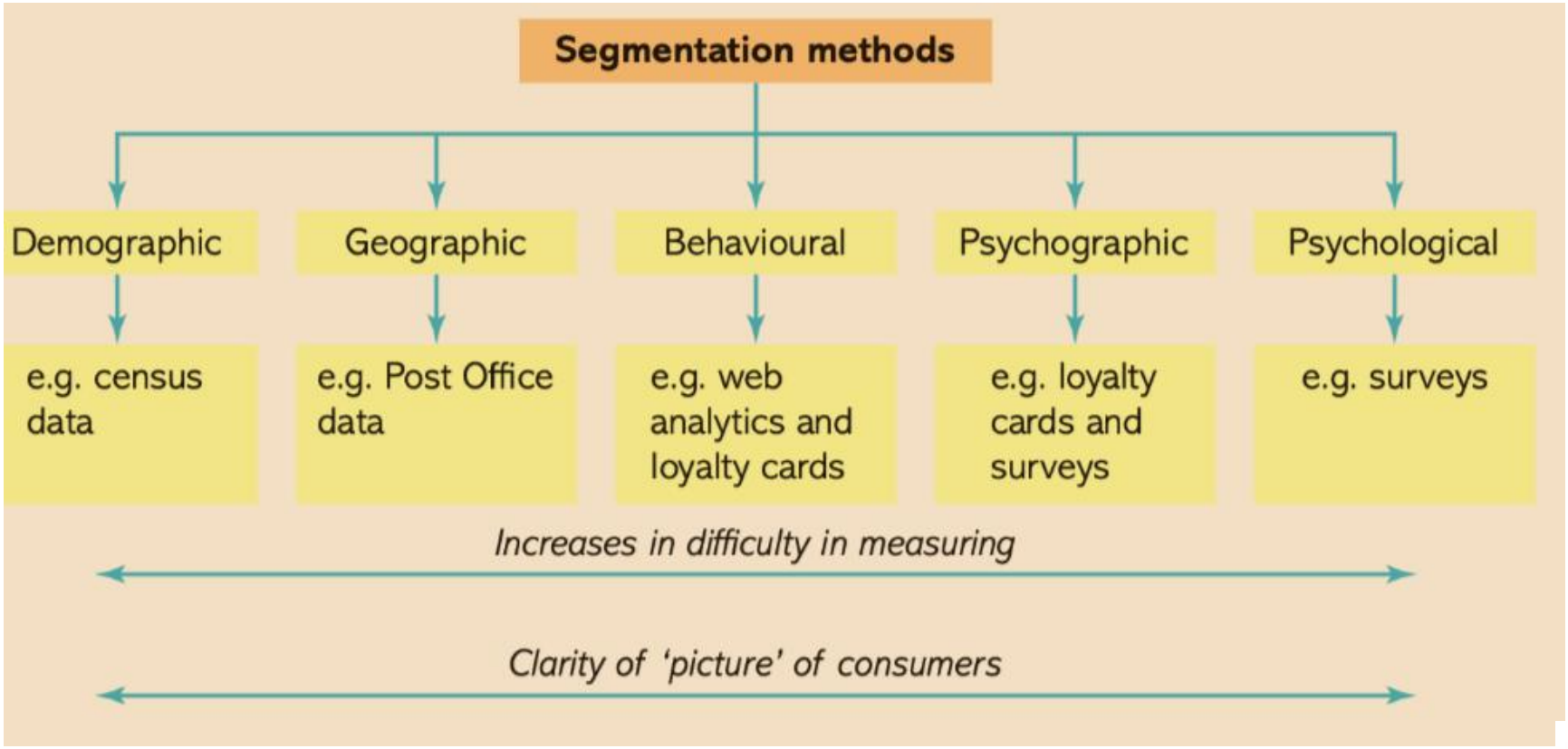
UM
UNIVERSIDAD DE MONTEVIDEO

Approach to Gaining Customer Insight



UM
UNIVERSIDAD DE MONTEVIDEO

Segmentation Methods



UM
UNIVERSIDAD DE MONTEVIDEO

Data Mining

Data Mining is the process of *discovering meaningful correlations, patterns and trends* by sifting through large amounts of data stored in repositories using pattern recognition, as well as statistical and mathematical techniques.

UM
UNIVERSIDAD DE MONTEVIDEO

Data Mining Examples

- *Classify customers* into specific categories which are meaningful to decision-makers.
- Identify potential *target markets* which possess the characteristics which decision-makers seek.
- *Forecast* sales or the use of services.
- Discover which types of products or services are *purchased together*.
- Discover *patterns and trends over time*, such as “after graduation, students take a holiday” and be able to show the probabilities associated with different holiday types.

UM
UNIVERSIDAD DE MONTEVIDEO